Once again, the broker models are not flexible enough to provide cost estimates for this situation without the PM providing the brokers with proprietary volatility and liquidity. But we can utilize the aggregate pre-trade model to determine the expected cost under this scenario. This calculation is:

$$MI_{bp} = 793 \cdot (0.10)^{0.57} \cdot (0.40)^{0.78} \cdot (0.167)^{0.52} = 41.1 \text{ bp}$$

Notice once again that this cost is significantly higher than what we would find from any of the vendor pre-trade models under current market conditions.

The more important concepts of the pre-trade of pre-trade modeling approach are:

- Simplified I-Star provides a valuable starting point and serves as an appropriate workhorse model.
- This allows investors to infer essential information from broker black box models.
- Vendor pre-trade models incorporate the current point in time variables such as current volatility, current liquidity conditions. But we often want to understand the exit costs that will occur under an entirely different set of market conditions.
- Managers can incorporate their own market views into the analysis (e.g., volatility, liquidity, as well as proprietary alpha signals).
- Managers can perform analyses independent of other brokers and vendors (minimizes information leakage).
- A transparent model allows stress testing, “what-if,” and sensitivity analyses.

HOW EXPENSIVE IS IT TO TRADE?

All too often we hear portfolio managers complain that their incremental alpha was lost during trading and the fund underperformed their benchmark due to transaction costs. But how true is this statement? Is the underperformance really due to the transaction drag on the fund or is it due to inferior stock selection? As we show below, the corresponding trading cost of an investment idea is often much more expensive than originally anticipated. And this is especially true when managers liquidate a position (e.g., sell the holding).

To begin, let us compare trading costs across large cap (SP500) and small cap (R2000) stocks. Table 11.4 provides the average trading characteristics